

United Nations Conference on Trade and Development (UNCTAD)

Thomas Jefferson Model United Nations Conference

TechMUN XXXIII



UNITED NATIONS
UNCTAD

High School General Assembly

Chairs: Jitsu Marupudi & Rishi Pathuri

Thomas Jefferson High School for Science and Technology

March 13th-14th, 2026

Dear Delegates,

Welcome to TechMUN XXXIII, but better than that, welcome to UNCTAD! We are your chairs for this conference, and we are excited to see how you decide to tackle some of the biggest topics in the world. This committee takes place in the modern day, amid the current global issues that are taking place. All of you represent a country from the United Nations, some big and powerful and others small but mighty. Despite the size of your country, you all are equally representative. It is important for you to remember your country, and stay with that as it will be how you will be distinguished.

We are looking for enthusiastic delegates, with good research done prior to the conference who are able to communicate properly to get their solutions across. We want to focus on diplomacy, and want to see delegates who work with others and don't try to make a committee just for them. Make sure to participate and raise your placard as much as possible, we love to see that kind of behavior. Don't be afraid to try new things, and even if mistakes are made, it is not the end and more participation will be looked positively upon. We all do Model UN to have a great time, and we want to ensure that you all have the best time at TechMUN. No matter how much experience you have, if it's your first or your tenth, we want to make this conference your best one yet and one for your books. Please do not hesitate to email us at coolunctadtj2026@gmail.com if you have any questions or concerns.

~ **Jitsu and Rishi**

Jitsu Marupudi & Rishi Pathuri

Co-Chairs, United Nations Conference on Trade and Development (UNCTAD)

Topic 1: Sovereign Debt Relief for Developing Countries

Background

Sovereign debt relief for developing countries remains one of the defining challenges of global economic governance in the 21st century. The issue is woven into the fabric of Sustainable Development Goals (SDGs), human rights, and international finance, as nations attempt to balance fiscal responsibility, resilience to shocks, and their people's welfare. For governments across Africa, Asia, the Caribbean, and Latin America, borrowing from external sources—such as international banks, bilateral partners, and multilateral institutions—has provided crucial funding for social programs, infrastructure, and economic growth. Yet this reliance has at times left countries precariously vulnerable. External crises, like commodity collapses, war, and the COVID-19 pandemic, have pushed debt burdens to historic highs. As of 2025, more than 60% of low-income and a significant share of middle-income developing countries are considered at high risk of, or already in, debt distress. The United Nations has warned that ballooning debt service payments are siphoning funds away from essential services, undermining education, public health, and efforts to address the climate crisis.

Current Situation:

The scope is immense: UNCTAD estimates that developing country public debt stock reached \$11 trillion by 2023, a 200% increase since the early 2000s. As a share of government revenues, debt servicing for the world's poorest countries has ballooned from 4% in 2010 to over 14% in 2024—a sum often exceeding what is spent on health or education annually. High-profile

defaults and slow-moving restructurings (Sri Lanka, Ghana, Zambia) highlight problems of creditor coordination, lack of transparency, and delays that can stretch over years, intensifying hardship for already vulnerable populations. The persistence of sovereign debt crises—despite several decades of reforms and relief—raises urgent questions for the future of the international financial system. Why, after landmark agreements like the Heavily Indebted Poor Countries (HIPC) Initiative and the G20’s 2020 “Common Framework,” are distressed nations still caught in dangerous cycles of borrowing and restructuring? What lessons have been learned, and what new approaches are needed?

Possible Solutions

Efforts to restructure and relieve sovereign debt are organized through several mechanisms. The Paris Club, an informal group of 22 major creditor countries, has coordinated official bilateral relief since 1956. The Heavily Indebted Poor Countries Initiative, led by the IMF and World Bank, provided qualifying low-income nations the chance to secure deep, irrevocable reductions in official and multilateral debt. By 2005, the Multilateral Debt Relief Initiative expanded support, culminating in hundreds of billions of dollars cancelled for the world’s poorest, most indebted countries. Research consistently shows that the aftermath of such debt relief was associated with renewed investment in public goods, notable increases in health and education spending, and—in many cases—robust economic growth. However, these gains have proven fragile. The 2010s and 2020s saw a dramatic change in the profile of sovereign debt, marked by the rise of private bond markets, new non-Paris Club bilateral creditors, and a widening group of countries facing distress. To address the fragmentation of modern debt, the G20 and Paris Club introduced the Common Framework in 2020, seeking to mandate comparable treatment by

official and private sector creditors and ensure fairer burden sharing among all major lenders. Despite this progress, implementation has proved slow and controversial, especially in high-profile cases where negotiations spanned several years and creditor disagreement delayed relief.

Questions to Consider

- 1) How can international financial institutions and creditor states reform existing debt relief frameworks to ensure faster, more inclusive, and more equitable outcomes for developing countries facing debt distress?
- 2) What mechanisms can be implemented to ensure that private creditors and non-Paris Club lenders participate fairly and transparently in sovereign debt restructuring processes?
- 3) How can sovereign debt relief initiatives be better aligned with the Sustainable Development Goals (SDGs), particularly in protecting government spending on health, education, and climate adaptation?

Helpful Links:

- <https://unctad.org/topic/debt-and-development>
- <https://www.worldbank.org/en/topic/debt>
- <https://www.imf.org/en/Topics/sovereign-debt>

Topic 2: Supporting the AFTA (ASEAN Free Trade Area)

Co-Chairs, United Nations Conference on Trade and Development (UNCTAD)

Background

The ASEAN Free Trade Area (AFTA) represents one of the most significant regional economic integration initiatives in Asia, designed to promote intra-regional trade, economic growth, and development among Southeast Asian nations. Established under the framework of the Association of Southeast Asian Nations, AFTA seeks to reduce tariff and non-tariff barriers, enhance market access, and strengthen cooperation among member states. By fostering closer economic ties, AFTA aims to improve competitiveness, attract foreign investment, and support sustainable development across the Asian region. Despite its long-standing existence, the implementation and effectiveness of AFTA remain uneven. While some ASEAN member states have benefited significantly from increased trade flows and industrial expansion, others continue to face structural, infrastructural, and institutional barriers that limit full participation in regional trade.

Relevant Issues

Asia's economic landscape is highly diverse, encompassing rapidly industrializing economies, middle-income countries, and developing states with limited industrial capacity. This diversity presents both opportunities and challenges for regional integration under AFTA. Differences in economic size, regulatory capacity, and development priorities have resulted in uneven gains and inconsistent implementation of agreed trade liberalization measures. Although tariff reductions under AFTA have largely been achieved, non-tariff barriers such as customs inefficiencies, divergent product standards, and complex certification requirements continue to hinder intra-ASEAN trade. In many cases, the cost and time required to move goods between

Asian countries remains high, reducing the competitiveness of regional supply chains. Additionally, smaller and less developed ASEAN members often express concern that deeper trade liberalization may disproportionately benefit larger economies, leading to market domination and reduced protection for domestic industries. A major challenge facing AFTA is inadequate regional infrastructure. Limited transportation networks, congested ports, and insufficient digital trade systems increase trade costs and delay cross-border commerce. These challenges are particularly acute for landlocked or lower-income ASEAN member states. Regulatory fragmentation also presents a significant obstacle. Overlapping national regulations, inconsistent enforcement, and limited harmonization of customs procedures undermine the effectiveness of AFTA commitments. Small and medium-sized enterprises (SMEs), which form the backbone of many Asian economies, are disproportionately affected by these barriers due to limited access to capital, information, and technology. Political considerations and concerns over national sovereignty further slow progress. Some governments remain hesitant to fully liberalize sensitive sectors, fearing job losses or political backlash.

Possible Solutions

Strengthening AFTA requires coordinated investment in regional infrastructure, including transportation corridors, ports, and digital trade platforms. Improved connectivity would reduce trade costs and enable broader participation in regional value chains. Harmonizing customs procedures, product standards, and regulatory frameworks across ASEAN member states is also essential. The development of shared digital systems for customs clearance and trade data could significantly enhance transparency and efficiency. To ensure inclusive growth, targeted support for SMEs, women-owned businesses, and youth entrepreneurs should be integrated into AFTA

implementation strategies. Capacity-building programs, access to affordable credit, and digital skills training can help these groups take advantage of regional market opportunities. Finally, enhanced cooperation between ASEAN institutions, national governments, and international partners can provide the technical assistance and financial resources needed to ensure AFTA delivers equitable and sustainable development outcomes across Asia.

Questions to Consider

- 1) How can ASEAN member states accelerate the harmonization of trade policies and customs procedures to improve the effectiveness of the AFTA?
- 2) What measures can be implemented to ensure that smaller and less developed Asian economies benefit equitably from regional trade integration?
- 3) How can AFTA better support small and medium-sized enterprises in overcoming non-tariff barriers and accessing regional markets?
- 4) What role should digital trade and regional infrastructure investment play in strengthening Asian economic integration under AFTA?
- 5) How can ASEAN balance national development priorities with the long-term benefits of deeper regional economic cooperation?

Helpful Links:

- <https://asean.org/asean-economic-community/asean-free-trade-area-afta-council/>
- <https://asean.org/what-is-asean/>
- <https://unctad.org/topic/trade-and-development>
- <https://www.worldbank.org/en/topic/regional-integration>
- <https://www.adb.org/what-we-do/themes/regional-cooperation-integration/main>

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